



Public Competition Assessment

11 August 2006

Barloworld's proposed acquisition of Wattyl

Introduction

1. On 6 July 2006, the Australian Competition and Consumer Commission (the ACCC) announced that it had formed the view that the proposed acquisition of Wattyl Limited (Wattyl) by Barloworld Limited would have the effect, or be likely to have the effect, of substantially lessening competition in a market in contravention of section 50 of the *Trade Practices Act 1974* (the Act). The Barloworld Limited offer was made through its wholly owned subsidiary Barloworld International S.L.U acting in its capacity as general partner of Barloworld Coatings LP, a limited partnership.
2. The ACCC formed its view based on information provided by the parties and information arising from its market inquiries. This Public Competition Assessment outlines, subject to confidentiality considerations, the basis on which the ACCC formed its view on the proposed transaction.

Public Competition Assessment

3. To provide an enhanced level of transparency and procedural fairness in its decision making process, the ACCC issues a Public Competition Assessment for all transaction proposals where:
 - a merger is rejected;
 - a merger is subject to enforceable undertakings;
 - the merger parties seek such disclosure; or
 - a merger is approved but raises important issues that the ACCC considers should be made public.
4. This Public Competition Assessment has been issued because the ACCC formed the view that Barloworld Limited's proposed acquisition of Wattyl would be likely to contravene the Act.
5. By issuing Public Competition Assessments, the ACCC aims to provide the market with a better understanding of the ACCC's analysis of various markets and the associated merger and competition issues. It also alerts the market to the circumstances where the ACCC's assessment of the competition

conditions in particular markets is changing, or likely to change, because of developments.

6. Each Public Competition Assessment is specific to the particular transaction under review by the ACCC. While some transaction proposals may involve the same or related markets, it should not be assumed that the analysis and decision outlined in one Public Competition Assessment will be conclusive of the ACCC's view in respect of other transaction proposals, as each matter will be considered on its own merits.
7. Many of the ACCC's decisions will involve consideration of both non-confidential and confidential information provided by the merger parties and market participants. In order to maintain the confidentiality of particular information, Public Competition Assessments do not contain any confidential information or its sources. While the ACCC aims to provide an appropriately detailed explanation of the basis for the views it forms, where this is not possible, maintaining confidentiality will be the ACCC's paramount concern, and accordingly a Public Competition Assessment may not definitively explain all issues and the ACCC's analysis of such issues.

The parties

Merger parties

8. Barloworld Coatings (Aust) Pty Limited (Barloworld) and Wattyl (collectively referred to as the merger parties or merged firm) are both manufacturers and suppliers of architectural and decorative (A&D) paints in Australia.
9. Barloworld is the third-largest supplier of A&D paints in Australia and owns the *Taubmans*, *Bristol* and *White Knight* brands. It is also produces industrial coatings (such as road marking). Barloworld has four A&D paint manufacturing plants in Australia located in:
 - Glen Waverley, Victoria;
 - Villawood, New South Wales;
 - Seven Hills, New South Wales; and
 - Hemmant, Queensland.
10. Wattyl is Australia's second-largest A&D paint supplier. Wattyl's portfolio of A&D paint brands includes *Solagard*, *Estapol*, *Wattyl id*, *Pascol*, *Solver*, *Granosite*, *Aspects* and *Killrust*. It is also produces industrial coatings. Wattyl's Australian A&D paint manufacturing sites are located in:
 - Kilburn, South Australia;
 - Blacktown, New South Wales; and
 - West Footscray, Victoria.

Other industry participants

11. Orica is Australia's largest supplier of A&D paints. Orica's A&D paint brands include *Dulux*, *British Paints*, *Berger*, *Walpamur*, *Levene*, *Hadrian*, *AcraTex*, *Cabots*, *Feast Watson* and *Intergrain*. It is also produces other coatings products including industrial coatings.

12. Other suppliers of A&D paints and their brands include Haymes (*Haymes* brand), Resene (*Resene* brand), Asian Paints (*Apco* brand) and PPG (*Manor Hall* and *Pure Performance* brands).

The proposed transaction

13. On 13 February 2006, Barloworld Limited announced its intention to make an off-market takeover offer to acquire all of the ordinary issued shares in Wattyl (the Proposed Acquisition). Barloworld Limited lodged its bidder's statement on 29 March 2006.
14. On 23 March 2006, the ACCC published its Statement of Issues (SoI) in relation to the Proposed Acquisition, outlining a number of competition issues identified by the ACCC and seeking further public submissions.
15. Subsequent to the release of the ACCC's SoI, Barloworld offered an undertaking under section 87B of the Act in relation to the divestiture of certain Bristol assets aimed to address the ACCC's concerns in relation to the Proposed Acquisition.
16. On 6 July 2006 the ACCC announced that it would oppose the Proposed Acquisition, finding that the enforceable undertaking offered by Barloworld did not address the ACCC's competition concerns.

Timing

17. The following table outlines the timeline of key events in this matter.

Date	Event
13 February 2006	Barloworld Limited announced its intention to make an off-market takeover offer to acquire all of the ordinary shares in Wattyl. The ACCC commenced a review under its Merger Review Process Guidelines. Market inquiries commenced.
6 March 2006	Closing date for submissions from interested parties regarding the Proposed Acquisition.
23 March 2006	ACCC published a SoI outlining its preliminary competition concerns.
7 April 2006 – 4 May 2006	The ACCC completed market inquiries regarding the SoI and received Barloworld Limited's response to the ACCC's SoI. ACCC formally sought information and documents from industry participants.
16 May 2006	Barloworld submitted s.87B undertaking to ACCC relating to its proposal to divest certain Bristol assets and ACCC commenced market inquiries on the undertaking.
30 May 2006	The ACCC completed market inquiries regarding Barloworld's proposed divestiture of certain Bristol assets.
6 July 2006	ACCC announced that it would oppose the Proposed Acquisition.

Market inquiries

18. The ACCC conducted market inquiries with a range of industry participants, including competitors, customers, input suppliers and industry bodies. Submissions were sought in relation to the substantive competition issues, and Barloworld's proposed undertakings.

Statement of Issues

19. The ACCC published its SoI on 23 March 2006 identifying a number of competition issues.
20. In the SoI the ACCC stated its preliminary view that the Proposed Acquisition would be likely to lead to reduced competition and increased prices as a result of:
- incumbents' vertical links acting as barriers to entry and expansion;
 - brand awareness acting as a barrier to entry and expansion;
 - minimal competition from industrial and heavy duty coatings manufacturers;
 - niche suppliers not acting as effective competitive constraints;
 - resellers' limited ability to bypass the merged firm;
 - trade customers' limited ability to bypass the merged firm; and
 - the common incentives of resellers and manufacturers that may affect barriers to entry and expansion.
21. The ACCC considered that it had insufficient information at the time to be able to determine the likely effect the Proposed Acquisition would have on non-price competition between remaining major manufacturers.
22. Finally, the ACCC considered that two issues were unlikely to pose substantial competition concerns. Those two issues were:
- the effect on competition for the supply of industrial and heavy duty coatings; and
 - the effect on competition for the acquisition of inputs into A&D paint manufacture.
23. The ACCC considered the information provided by the merger parties and market with respect to these issues. The ACCC's final views are set out below.

Market definition

24. The relevant market was considered to be the national market for the manufacture and supply of A&D paints in Australia (the A&D Paint Market).

Competition analysis

Market concentration

25. Wattyl and Barloworld together account for more than half of total sales. The merged firm and Orica, which is currently the largest supplier, would together account for approximately 90 per cent of A&D paint sales.

Actual and potential competition from industrial and heavy duty coatings manufacturers

26. The ACCC considered that the potential for supply of A&D paints by manufacturers of industrial and heavy duty coatings¹ (IC manufacturers) would be unlikely to constrain the merged firm from increasing A&D paint prices above competitive levels.
27. Although some IC manufacturers may have the necessary production equipment and expertise to manufacture A&D paint, an IC manufacturer would likely face substantial barriers to entry and expansion in terms of requiring sufficient brand strength and access to distribution to be considered a viable alternative to the leading national brands in the A&D Paint Market. The requirement for well recognised brands in A&D paint is discussed below at paragraph 34. The ACCC noted that an IC manufacturer would have limited ability to leverage any existing brand loyalty and distribution capabilities in its IC operations into A&D supply as:
- A&D customers are unfamiliar with IC brands;
 - A&D customers are unfamiliar with foreign A&D brands owned by companies that manufacture IC products in Australia; and
 - IC products are generally distributed directly to the end-user rather than through the retail or trade outlets utilised by A&D paint manufacturers.
28. The information before the ACCC suggested that a small but significant non-transitory increase in price (SSNIP) by the merged firm would have been unlikely to attract entry into the A&D paints market by IC manufacturers on a scale necessary to constrain the merged firm due to the substantial levels of investment likely to be required in developing brand awareness and distribution.
29. The ACCC notes that PPG's very limited market share achieved since its entry into A&D paint supply market in 2003 demonstrates the substantial barriers to entry and expansion facing IC manufacturers. In addition, Wagon Paints is an example of an IC manufacturer that entered but then exited the A&D paints market because of these barriers.

Actual and potential import competition

30. Actual and potential imports of A&D paints were also considered unlikely to effectively constrain the merged firm in the event of a SSNIP.
31. The available information indicates that imports (which account for approximately 3-5% of Australian A&D paint sales) do not currently represent a competitive constraint for broadwall paint². A relevant factor for the limited market acceptance of A&D paints manufactured overseas is that paint sold in

¹ Examples may include Jotun, Valspar and Akzo Nobel.

² Interior and exterior wall and ceiling paints are generally described as 'broadwall' paint and together account for approximately 66% of all A&D paint sales. The parties to the Proposed Acquisition and Orica generally have well-recognised brands and products in all A&D paint categories. In contrast, some small paint manufacturers may focus on, or specialise in, a particular low-volume paint category or product 'niche', such as paving paint or texture coatings.

Australia is formulated differently to paint sold overseas. In addition, independent imports of A&D paints generally occupy product niches or are of expensive boutique paints, which suggests that:

- freight costs relative to the value of A&D paints limit the role of import competition;
- the merged firm is unlikely to face a credible competitive threat from imports of broadwall products, which account for the majority of A&D paint sales; and
- establishing brand awareness and accessing retail and trade customers are substantial obstacles to import competition. The potential ability of a reseller to import a housebrand³ is unlikely to represent a sufficient competitive constraint on the merged firm's prices for branded paints.

32. Further, the ACCC noted that there are likely to be significant supply chain management issues and costs in sourcing broadwall paints from overseas.

Barriers to entry and expansion

33. The ACCC considered that new entry would be unlikely to provide an effective competitive constraint on the merged firm within the foreseeable future.⁴

34. Both 'do-it-yourself' (DIY) and trade customers generally require the assurance of a well-recognised brand such as *Dulux*, *Taubmans* or *Wattyl*. As a result, the ACCC considered that in order to constrain the merged firm a new entrant or small manufacturer would be required to build brand awareness in both the DIY and trade segments⁵ on a national basis, which would involve significant sunk investment in advertising and promotion. The ACCC also considered it unlikely that a new entrant or small manufacturer would be able to develop sufficient brand awareness in time to act as an effective competitive constraint on the merged firm. Without brand awareness, it is unlikely that a new entrant would be able to access sufficient DIY and trade distribution to constrain the merged firm. The ACCC concluded that brand awareness limits and delays the ability of a new entrant to exercise a competitive constraint on incumbent suppliers and therefore constitutes a significant barrier to entry and expansion in the A&D Paint Market.

35. New entrants face difficulty accessing DIY resellers' shelves due to existing brand proliferation. Major manufacturers use different brands in different price

³ Some resellers own a paint brand – a 'housebrand', such as Mitre 10's *Accent* paint. Resellers can seek tenders from manufacturers for the production and supply of a housebrand. For the purposes of its assessment, the ACCC distinguishes such housebrands from 'exclusive labels'. Exclusive labels are branded products supplied to a reseller on an exclusive basis, but owned by the manufacturer.

⁴ In relation to new entry, it is not sufficient that new entry is possible, but rather that new entry on a scale that would act as an effective competitive constraint on the merged firm is likely in the event that the merged firm sought to exercise market power. A credible threat of new entry may also effectively constrain the merged firm.

⁵ 45% of total national A&D paint sales are to DIY customers with the remaining 55% made to trade customers. DIY distribution channels include: corporate and independent hardware (such as Bunnings, Mitre 10 and Danks), mass merchandisers (such as Big W and Kmart), independent paint specialists (such as Paint Right, Paint Spot and Paint Place) and the company-owned stores of A&D manufacturers. Trade distribution channels include: company-owned stores and trade dealership arrangements between A&D.

segments which mean that there is limited space for the products of competing manufacturers. In response to new entry or expansion, major manufacturers can also leverage their existing leading brands to introduce product extensions and increase brand proliferation in the DIY segment. Major manufacturers can bundle or tie lesser brands to their leading national brands and also supply the main housebrands to DIY resellers. The ACCC considered that following the Proposed Acquisition, the ability of the merged firm to effect the above practices would be heightened by its larger stable of brands.

36. Any supply of exclusive label A&D products to resellers (or 'brand channelling') by the merged firm would be likely to further limit access to resellers' shelves for smaller manufacturers' DIY products. The ACCC considered that the Proposed Acquisition, as a result of the merged firm's increased stable of brands, would increase the opportunity for the merged firm to offer exclusive brands to resellers which would act as a disincentive for resellers to stock the products of new or smaller manufacturers. The Proposed Acquisition is therefore likely to increase barriers to entry and expansion relating to distribution.
37. The ACCC also considered that the merged firm would have the ability and incentive to respond aggressively to the threat of new entry by price discriminating in the product category and/or geographic area in which entry occurs or is likely to occur and by pressuring resellers to not stock a new entrants' products and brands. Such pressure could be applied by the merged firm by threatening to not supply its leading brands, including any exclusive brands, or by opening a company-owned store in close proximity to the reseller. Further, the merged firm may reduce discounts and rebates offered to the reseller, remove any trade dealership arrangement with the reseller and/or not refer lucrative trade painters to the reseller.

Vertical integration

38. The merged firm and Orica would themselves determine prices to final consumers in relation to more than half of total A&D paint sales in Australia through their extensive national networks of company-owned stores and trade dealerships. Through trade dealership arrangements, the major manufacturers enter into contractual arrangements with independent resellers under which independent resellers act as distributors on commission for a paint manufacturer at prices set by the manufacturer. The ACCC noted that existing relationships between resellers and the major manufacturers created by trade distribution arrangements tend to limit sales to the trade segment by smaller manufacturers and new entrants. Trade painters are also discouraged from using the products of new entrants due to their existing relationships with major manufacturers, which include substantial volume discounts, and due to preferred supplier arrangements between major manufacturers and building and construction companies.
39. Existing relationships between resellers and the major manufacturers created by trade distribution arrangements, franchise agreements, rebates and other incentives also tend to limit the opportunities for small manufacturers to

expand their sales to DIY customers. As a result, small manufacturers would likely face long lead times to access a sufficiently extensive number of supply arrangements with resellers. Small manufacturers also face long lead times to establish a sufficiently extensive company-owned store network and face strategic disincentives to do so, as this usually places them in competition with their existing and potential downstream resellers, thereby undermining a significant point of differentiation that assists in expanding distribution for small manufacturers' brands.

40. The ACCC therefore considered that the major manufacturers' vertical integration creates substantial barriers to entry and expansion by limiting fringe suppliers' access to the DIY and trade segments.

Availability of substitutes

41. The merged firm and Orica would appear to face limited competition in niche product categories or local areas from several fringe competitors, including *Haymes*, *Rockcote* and the *Sikkens* and *Plasti-kote* brands. However, the information before the ACCC indicated that smaller and fringe players, individually or combined, would not provide a sufficient competitive constraint across a significant proportion of the product categories (including broadwall paints) and geographic areas that together constitute the national A&D Paint Market. Further, the ACCC considered that smaller and fringe players would face substantial barriers in expanding to provide a competitive constraint upon the merged firm in broadwall paints, as outlined above.
42. The ACCC's inquiries indicated that smaller players are unlikely to expand and constrain the merged firm by obtaining significant reseller housebrand contracts. Housebrand contracts tend to be long term and exclusive, and are generally fulfilled by the housebrand owner's major branded supplier. Evidence also suggests that the majority of resellers rely upon the housebrand manufacturer's brand recognition to establish the credibility of the housebrand. In addition, housebrand suppliers face the requirement of providing in-store marketing support to resellers and there appear to be incumbency advantages arising from the significant costs incurred by resellers if they switch housebrand suppliers.

Countervailing power

43. The ACCC's investigation indicated that DIY resellers and trade customers are unlikely to possess sufficient countervailing power with which to defeat a SSNIP by the merged firm. Although some large DIY resellers may have strong bargaining power with manufacturers of A&D paints, this bargaining power is not sufficiently widespread to act as a constraint on the merged firm.
44. In relation to DIY resellers, the ACCC noted that corporate and independent hardware DIY resellers would lose any countervailing power in terms of their current ability to play the merger parties against each other for the "second slot" position on their shelves. There would also be no countervailing power available to these resellers in the form of alternative suppliers, in large part

due to lack of national brand credibility and presence, or importation. Paint specialists could switch customers to brands of smaller players once in-store, but would continue to be reliant upon one or both of the remaining major suppliers for their leading brands. Further, it is unlikely that sufficient numbers of paint specialists would be able to switch to a smaller player or new entrant for a trade dealership arrangement due to trade painters' preferences for the quality assurance, consumer acceptance and level of service provided by the major suppliers.

45. Further, the ACCC considered that DIY housebrands stocked by resellers are unlikely to provide a competitive constraint upon the leading brands of the remaining major suppliers. Factors informing this conclusion include:
- housebrands are unlikely to provide a competitive constraint upon the major suppliers' ultra-premium products which account for approximately 40% of total DIY sales⁶;
 - the ability of housebrands to take sales away from the major suppliers is limited since the major housebrand contracts for broadwall paint would likely be awarded to the major suppliers;
 - housebrand products suffer from a significant reputation disadvantage, which is reflected by resellers using the housebrand manufacturer's identity to establish credibility. Increased marketing by the merged firm on particular branded products would exacerbate this reputation disadvantage of housebrands;
 - any future innovation by Orica and the merged firm for their branded products may further reduce the ability of housebrands to provide a competitive constraint;
 - with its larger stable of brands, the merged firm may be in a position to offer exclusive brands to larger DIY resellers as an alternative to housebrands, thereby removing housebrand contract opportunities for small manufacturers; and
 - trade painters generally hold the view that housebrands are not a viable alternative, because they are perceived to be of inferior quality and many trade painters are able to acquire national branded paints at significantly lower prices.
46. In relation to trade customers, the ACCC considered that these customers would not possess countervailing power post-acquisition as fringe suppliers are unlikely to be credible substitutes given trade painters' preferences for the quality assurance, consumer acceptance and level of service provided by the major suppliers. In addition, corporate and independent hardware resellers, such as Bunnings and Mitre 10, are unlikely to provide a credible alternative source of supply for trade painters. The ACCC's inquiries suggested that trade customers are unwilling to obtain A&D paint from these resellers partly because of significantly better pricing from the major manufacturers' company-owned stores and trade dealerships. Further, trade painters raised a number of non-price factors including service, expertise, waiting times and issues relating to colour mixing and tinting services. The ACCC's inquiries

⁶ A&D paint demand in DIY is commonly segmented by market participants into different price points. These include: 'budget' (under \$40 for 4L); 'premium' or 'three-quarter' (\$40-\$49 for 4L) and 'ultra-premium' (over \$50 for 4L).

also indicated that Bunnings' and Mitre 10's DIY prices would be unlikely to provide any credible bargaining power to trade customers in their negotiations with the merged firm due to the general unwillingness of trade painters to obtain their trade paint from these DIY resellers.

Removal of a vigorous and effective competitor

47. The ACCC considered Wattyl to be a vigorous and effective competitor to Barloworld and Orica, particularly through its Solver brand. The ACCC was concerned that the Proposed Acquisition would remove the competitive tension currently offered by Wattyl.
48. In this regard, the ACCC noted that the merger parties are two of the three A&D paint suppliers that offer a comprehensive product range and have extensive vertical links into distribution to trade customers nationally. They are also suppliers of two of the top three A&D paint brands and between them have leading positions in specialty finishes, exterior broadwall and metal finishes. Resellers' housebrands are also supplied predominantly by the major suppliers. Further, Wattyl and Barloworld compete vigorously for second position in the A&D paint market, as evidenced by vigorous price competition and housebrand tendering. Wattyl and Barloworld have grown market share at the expense of both Orica and other competitors in the A&D paint market. Wattyl also enjoys similar economies of scale to Orica and is in the process of seeing improved efficiencies likely to return improved economies of scale.

Increased non-price competition by the merged firm

49. The ACCC considered it unlikely that the merged firm and Orica would have an increased incentive to compete vigorously to the benefit of consumers. While there may be some increases in non-price competition arising from the Proposed Acquisition, such as increased marketing on some products, the ACCC considered that any potential benefits which may be derived from any increased non-price competition would be outweighed by reduced price competition. The ACCC noted that Orica already faces significant non-price competition from Wattyl and, to a lesser extent, Barloworld and there is also vigorous non-price competition between Wattyl and Barloworld for the second-ranked position. Further, the ACCC is concerned that any post-acquisition increases in advertising and promotion in relation to particular brands or products by the merged firm are likely to reinforce brand awareness as a barrier to entry and expansion. In addition, the information before the ACCC suggests that the vigorous level of price competition between the major manufacturers currently seen in the A&D market would likely be diminished as a result of the Proposed Acquisition.

Prices and profit margins

50. The ACCC considers that the Proposed Acquisition would be likely to provide the merged firm with the ability to unilaterally increase its prices or decrease its service to trade customers through the removal of Wattyl, and particularly, Solver as a vigorous and effective competitor.
51. In particular, the information before the ACCC indicates that Solver is the industry maverick in the trade segment with a strategy of using price as the primary means by which to expand sales against Barloworld and Orica. Accordingly, the ACCC is concerned that, by removing the vigorous price competition offered by Wattyl/Solver, the Proposed Acquisition would likely provide scope for the merged firm to increase trade prices from Solver's current levels to Barloworld's existing higher average price levels. Further, the ACCC's inquiries indicate that the merged firm may also be able to increase its prices closer to Orica's, given the latter's significantly higher prices for its *Dulux* products.
52. The ACCC was also concerned that significant capacity reductions by Barloworld which would have resulted from the Proposed Acquisition would have reduced the incentive for Orica and the merged firm to engage in vigorous price competition. The ACCC considers that by removing Wattyl, the Proposed Acquisition would increase the level of mutual interdependence between Orica and the merged firm which may also have the effect of reducing the vigour of price competition between them.
53. In addition, the ACCC considered that the Proposed Acquisition would increase the incentive for coordinated conduct between the merged firm and Orica as it may increase symmetry between these firms in the following respects:
- by removing the current asymmetry and constraint upon coordination created by DIY resellers being able to choose between three major manufacturers;
 - by creating greater capacity constraint symmetry;
 - by increasing cost structure symmetry; and
 - by increasing product range symmetry⁷.
54. Although price transparency may be complicated by bilaterally negotiated discounts between the major manufacturers and their respective customers, the ACCC considered that through tacit conduct these coordination impediments would not be insurmountable.

⁷ Each of the merger parties offer a full range of products in the A&D Paint Market, however Barloworld supplies *relatively* less roof paint, fence paint, texture paint and woodcare products and Wattyl supplies *relatively* less paving paint and speciality finishes. In all other categories Wattyl and Barloworld have a significant presence. Orica has a strong offering in each of the product categories in the A&D Paint Market. As a result of the Proposed Acquisition, the merged firm would have an strong presence in all product categories and greater symmetry with Orica.

Undertakings

Barloworld's proposed undertakings

55. The ACCC also considered whether the court enforceable undertakings proposed by Barloworld, pursuant to section 87B of the Act, would address the issues of concerns identified by the ACCC. A brief summary of the undertakings offered by Barloworld (the Divestiture Assets) is set out below:
- the divestiture of Bristol brand and other intellectual property associated with the Bristol business;
 - the divestiture of up to 50 of its 85 company-owned Bristol stores, along with all rights to the 35-store independently-owned Bristol Banner Group franchise;
 - a toll manufacturing agreement between Barloworld and the purchaser, if required by the purchaser, for a period of up to 5 years (Toll Manufacturing Agreement) or, if required by the purchaser, the divestiture of Barloworld's manufacturing facility located at Glen Waverley, Victoria;
 - an agreement to supply the divested business with certain Barloworld products, for a period of 2 years, if required by the purchaser (Supply Agreement); and
 - an agreement to make the products of the divested business available for sale in Barloworld's company-owned stores, for a period of 2 years, if required by the purchaser (Distribution Agreement).

ACCC's views regarding Barloworld's proposed undertakings

56. The ACCC considered that Barloworld's proposed divestiture would not satisfactorily resolve its competition concerns regarding the Proposed Acquisition for reasons including the following:
- the Divestiture Assets would not, by themselves, generate sufficient sales volumes across necessary segments of the A&D Paint Market to facilitate market entry at, or expansion by a small manufacturer to, a level that would provide a competitive constraint to the merged firm;
 - Bristol's sales, brand strength and distribution coverage are largely limited to the eastern states;
 - the purchaser of the Divestiture Assets would be required to undertake significant marketing expenditure to establish Bristol as a nationally recognised brand in the DIY segment of the A&D Paint Market;
 - the Glen Waverley manufacturing facility is constrained in its potential for expansion and would be unlikely to provide its purchaser with sufficient volumes of paint at a cost that would enable it to compete effectively with the merged firm;
 - any toll manufacturing agreement would undermine the ability of the purchaser of the divested business to act as an effective independent competitor; and
 - the Supply Agreement contemplated by the undertakings would establish the divested business as an agent of the merged firm, such that it would not be able to provide an effective independent competitive constraint.

57. The ACCC therefore concluded that Barloworld's proposed divestiture would not prevent the merged firm from increasing its prices because the Divestiture Assets would not provide an adequate platform for any purchaser to become an effective and independent competitive constraint in the foreseeable future.

Conclusion

58. On the basis of the above, including taking into account the proposed undertakings, the ACCC decided that the Proposed Acquisition of Wattyl by Barloworld Limited would be likely to result in a substantial lessening of competition for the manufacture and supply of A&D paints in Australia, in contravention of section 50 of the Act.